

Cross border co-ordination

- Optimum timing of withdrawal likely to vary
- Gains from information exchange and co-ordination:
 - Minimise cross-border distortions and arbitrage
 - Minimise collective action problems
 - Largest gains where spillover risks highest (such as deposit insurance and liability guarantees – eg Hong Kong/Singapore/Malaysia co-ordinating removal of exceptional retail deposit insurance)
- Strengthening infrastructure and framework for foreign currency liquidity (G20 group)